REAL FINANCIAL EDUCATION SERIES · GUIDE 2 OF 3

MONKEY MONEY

Intermediate investing guide — told by me, Mika

Let's level up!

Strategy, analysis, and portfolio construction

INTERMEDIATE LEVEL

Hi, I'm Mika

I always carry a tablet with a chart open, a coffee that cools faster than I'd like, and a watch that tracks my habits about as well as I try to track my portfolio. If you already made it through the first guide, the one on the basics, you already have the gear you need: you know what compound interest is, you already know index funds, and you already understood that risk isn't avoided, it's managed. That's exactly what you need to be here with me.

This guide is for someone who's already investing, not someone who's just starting out. If you've spent 12 to 24 months consistently putting money into your investments, you already passed the first test: discipline. What comes next is learning to optimize — to read real companies, to build a portfolio with intention, to understand taxes, real estate, fixed income, and above all, to design a system that's entirely your own.

WHAT WE'LL COVER TOGETHER

01 Fundamentals review — confirm your base can hold
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11 Portfolio rebalancing — when and how
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> **Mika says:**
> *The beginner learns to invest. The intermediate investor learns to optimize. That difference isn't just knowledge — it's mindset. Get ready to ask yourself sharper questions than "where do I invest?"*

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CHAPTER ONE

Fundamentals review

Before leveling up, I check my dashboard. An intermediate investor hasn't just read about these concepts — they've applied them with their own money, for long enough to have felt at least one real market drop.

My checklist before moving forward

Skill	Do you have it down?	If not: action
Compound interest and the time effect	Yes / Needs review	Reread Guide 1, chapter 2
Index funds and ETFs	Yes / Needs review	Reread Guide 1, chapter 3
DCA and automation	Yes / Needs review	Implement it before continuing
Basic emotional management	Yes / Needs review	Practice with small positions

Active emergency fund	Yes / No	Build it before continuing

The difference between beginner and intermediate isn't vocabulary, it's mindset. At this level you start asking yourself sharper questions:

- How do I choose between one fund and another based on real metrics, not intuition?
- How do I distribute my capital across asset classes, not just "stocks and done"?
- When does it make sense for me to manage things more actively?
- How do I legally optimize the tax burden on what I'm already investing?

Intermediate warning: the biggest risk at this level is overconfidence. You know enough to believe you can beat the market, but not yet enough to know when that belief is going to cost you dearly. Keep the humility of a beginner with the knowledge of an expert — I still remind myself of this every time my tablet tempts me into a "brilliant" move.

TODAY'S ACTION

Go through the table above with total honesty. Any row marked "needs review" becomes your task before reading this chapter a second time. There are no shortcuts to a solid foundation.

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CHAPTER TWO

Fundamental analysis of companies

If you're going to invest in individual stocks (not just funds), you need to know how to read a company beyond what the price on your screen says. Fundamental analysis tells you how much something is actually worth, not how much it costs today.

It evaluates the intrinsic value of a business: its revenue, margins, debt, competitive advantages, and growth prospects. The goal is simple to state and hard to execute: determine whether the current market price is higher, lower, or equal to the business's real value.

The metrics I always check on my tablet

Metric	What it measures	Basic interpretation
P/E (Price to Earnings)	How much you pay per $ of earnings	Low can indicate value; high can indicate high expectations or overvaluation
EV/EBITDA	Company value vs. operating earnings	More precise than P/E for comparing indebted companies
ROE (Return on Equity)	Return on shareholders' equity	Higher = more efficient use of capital
Net margin	% of revenue that becomes profit	Indicates efficiency and pricing power
Debt/EBITDA	Relative debt level	Above 4-5x is usually a warning sign
Free Cash Flow	Real cash generated after expenses	The most honest indicator of financial health

The 5 questions I ask myself before buying

- Do I understand the business? Do I know exactly how this company makes money?
- Does it have a durable competitive advantage (moat)? What stops someone from easily copying it?
- Does it have good management? Does the leadership team have a track record of creating shareholder value?
- Is the price reasonable? I compare its metrics against the sector and its own history.

- What are the main risks? Regulation, competition, economic cycle?

Margin of safety: the concept coined by Benjamin Graham and popularized by Warren Buffett. Buy at a price significantly below the intrinsic value you estimated. That gap is your cushion against analysis errors or events you didn't see coming.

Fundamental analysis ≠ a guarantee: it reduces uncertainty, but doesn't eliminate it. A company can be fundamentally solid and still see its price drop in the short term due to macroeconomic factors. Time horizon matters just as much as the analysis itself.

DCF — discounted cash flow valuation (intro)

Discounted Cash Flow (DCF) estimates the present value of a company's expected future cash flows. It's the most complete method, but also the most sensitive to the assumptions you use: a small change in the estimated growth rate can radically change the result.

Simplified formula
Value = Sum of (Future Cash Flow ÷ (1 + Discount Rate) Year)

My favorite tools: Macrotrends.net for historical financial metrics. Morningstar for professional analysis with valuation ratings. Tikr.com or Simply Wall St for quick dashboards. And always, the company's annual report (10-K), the most reliable primary source of all.

TODAY'S ACTION

Pick a company you already know well as a consumer and apply the 5 questions to it. You don't need to buy it — just practice the analysis on something you understand from the customer's side.

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CHAPTER THREE

Technical analysis — reading markets

Technical analysis studies price and volume behavior to identify patterns and trends on my chart. It's a complementary tool on my tablet, not an oracle that predicts the future.

It rests on three premises: price discounts everything (it already includes all available information), prices move in trends, and history repeats itself (patterns repeat because human behavior repeats).

Concepts I check every morning with my coffee

Trend: uptrend (higher highs and higher lows), downtrend (lower highs and lower lows), or sideways. Trading in the direction of the dominant trend meaningfully increases the odds of success.

Support and resistance: support is the level where demand has historically exceeded supply (price "bounces"). Resistance is where supply exceeds demand (price "hits a ceiling"). When broken, they often swap roles.

Moving averages: the average price over a given period (20, 50, 200 days). The 200-day MA is the most widely used long-term trend indicator. Price above the 200-day MA usually signals a long-term uptrend.

Indicators worth knowing

Indicator	What it's for	Limitation
RSI (0-100)	Measures if an asset is overbought (>70) or oversold (<30)	Can stay at an extreme for a long time in strong trends
MACD	Trend-change signals via moving average crossovers	Lagging indicator, late signals

Bollinger Bands	Measures volatility and price position vs. its average	Doesn't indicate direction, only relative volatility
Volume	Confirms the validity of price moves	On its own, not a sufficient signal

The limitation every intermediate investor must accept: technical analysis works best as a timing tool within a fundamental thesis, not as a primary selection strategy. Many studies show technical analysis alone doesn't consistently beat an indexed portfolio over the long run.

How I use it: to find the best entry or exit point on an investment I already decided on based on fundamentals, to identify short-to-medium-term trends, and to manage active positions. What I don't use it for: deciding what to buy, predicting the future with certainty, or replacing fundamental analysis.

TODAY'S ACTION

Open the chart of an investment you already hold and locate its 200-day MA. Just identify whether the price is above or below it. That single reading already tells you what kind of long-term trend you're standing in.

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CHAPTER FOUR

Advanced portfolio construction

A portfolio isn't a list of things you bought. It's a system designed with a specific goal, time horizon, and risk tolerance — like my backpack, which doesn't carry just anything, it carries exactly what I need for that day.

Harry Markowitz showed that the right combination of assets can maximize return for a given level of risk, or minimize risk for a given level of return. The key concept behind this: correlation between assets. Assets with low correlation to each other reduce the portfolio's overall risk without proportionally reducing expected return. That's the efficient frontier.

Correlation between asset classes

Asset pair	Typical correlation	Effect on the portfolio
US stocks / European stocks	High (0.7-0.9)	Geographic diversification, moderate correlation
Stocks / Government bonds	Low or negative (-0.2 to 0.3)	Excellent classic diversifier
Stocks / Gold	Low (0.0 to 0.2)	Hedge against crises and market drops
Stocks / Real estate (REITs)	Medium (0.5-0.7)	Diversification with similar exposure
Stocks / Cryptocurrency	Variable, rising in crises	Limited diversification exactly when it matters most

Portfolio models by profile

Conservative (lower volatility): 30% global stocks (world ETF) + 50% investment-grade bonds + 15% gold/commodities + 5% cash. Historical expected return: 4-6% annually. Volatility: low.

Moderate (balanced): 60% stocks (global + emerging) + 30% bonds + 10% alternative assets (gold, REITs). Historical expected return: 6-8% annually. Volatility: medium.

Aggressive (maximum long-term growth): 90% stocks (60% global + 20% emerging + 10% small caps) + 10% alternative assets. Historical expected return: 8-11% annually. Volatility: high.

The mistake of ignoring correlation: many people believe owning 20 different stocks is already diversification. If they're all in the same sector or the same country, correlation is so high that in a crisis they all fall together. True diversification comes from asset classes and geographies with low correlation to each other.

The efficient frontier, in practice: you don't need to calculate it mathematically. You need to understand the principle: combining assets that don't fall at the same time or by the same amount reduces your overall risk without sacrificing an equivalent return. That, at its core, is what makes a portfolio good.

TODAY'S ACTION

Review your current portfolio and classify each position by asset class. Do you have anything besides "pure stocks from the same country"? If not, that's your next adjustment.

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CHAPTER FIVE

Asset allocation by life stage

I don't invest the same way at 25 as I will at 55. Asset allocation should evolve along with your goals, your time horizon, and your actual capacity to take on risk.

The younger you are, the more risk tolerance you can afford: you have plenty of time to recover from drops. The closer you are to needing the money, the more you should prioritize preservation over growth.

Allocation guide by age

Approx. age	Stocks	Bonds	Alternatives/Cash	Reasoning
20-35 years	80-100%	0-15%	0-10%	Maximum horizon, high risk tolerance
35-50 years	60-80%	15-30%	5-15%	Growth with growing protection
50-60 years	40-60%	30-45%	10-20%	Preservation starts to matter
60+ years	20-40%	40-60%	15-30%	Priority: don't lose, generate stable income

Rule of 110: a popular, if simplified, rule: 110 minus your age = % in stocks. At 30: 80% in stocks. At 50: 60% in stocks. It's not perfect, but it gives a quick reference point when it's time to rebalance based on your age.

The three horizons I manage at the same time

- **Short term (0-3 years):** known needs, money in high-yield accounts or short bonds.
- **Medium term (3-10 years):** a mix of fixed income and moderate equities.
- **Long term (10+ years):** maximum exposure to equities, with periodic rebalancing.

When to adjust your portfolio: marriage, kids, a significant job change, an inheritance, buying a property, approaching retirement, a change in your health situation. What should never trigger an adjustment is market news. Adjust for life changes, not headlines.

TODAY'S ACTION

Calculate your target % in stocks with the rule of 110 and compare it to your current allocation. If the gap is large, note whether it's time to move something or just redirect your next contributions.

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CHAPTER SIX

Sectors, geographies, and themes

Beyond "global stocks," the intermediate investor learns to spread her exposure across economic sectors, geographic regions, and structural trends — like organizing my backpack by compartments, instead of just tossing everything in together.

The 11 market sectors (GICS)

Sector	Characteristics	Typical behavior
Technology	High innovation, high growth	Leader in expansions, vulnerable to high rates
Healthcare	Defensive, regulated	Stable, holds up well in recessions
Financials	Banks, insurers, fintech	Sensitive to interest rates
Consumer staples	Food, hygiene, pharma	Very defensive, low volatility
Consumer discretionary	Retail, autos, luxury	Cyclical, tied to the economic cycle
Energy	Oil, gas, renewables	High volatility, sensitive to commodities
Industrials	Manufacturing, transport	Cyclical, tied to global growth
Materials	Mining, chemicals	Highly cyclical, benefits from inflation
Utilities	Electricity, water	Very defensive, dividend-driven returns
Real estate (REITs)	Publicly traded real estate	Sensitive to rates, generates income
Communications	Telecom, media, internet	Mixed: defensive + growth

The U.S. represents close to 60% of the global market. That doesn't mean you should concentrate there. Emerging markets (China, India, Brazil, Southeast Asia) offer greater growth potential, but also more volatility and political risk.

Geographic diversification

Region	% of global market	Risk/return profile
United States	~60%	Highly developed, highly liquid, lower growth potential
Developed Europe	~15%	Stable, more value-oriented, lower growth
Japan	~6%	Mature market, influenced by the yen
Emerging (ex-China)	~8%	High potential, higher volatility
China	~3-4%	High potential + elevated regulatory/political risk

Thematic investing, opportunity or trap? Thematic ETFs (artificial intelligence, green energy, longevity, cybersecurity) let you bet on specific trends. The risk: they often reach you once the trend is already overvalued. Themes only work well if you get in before the hype, not after.

The core-satellite strategy, the one I use: core (70-80%) in low-cost, automated, diversified global index investing. Satellite (20-30%) in more specific positions: sectors, geographies, themes, or individual stocks. This model lets you take advantage of opportunities without abandoning your solid base.

TODAY'S ACTION

Review your current geographic exposure. Are you 100% in a single country? Decide what percentage of your core you want international, and start moving there with your next contributions.

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CHAPTER SEVEN

Real estate as an asset class

Real estate is the favorite asset class for millions of investors, for real reasons: it generates income, has tangible value, and has historically preserved value against inflation.

Direct investment (buying properties)

Advantages: full control, mortgage leverage, potential tax benefits, tangible asset. Disadvantages: high illiquidity, active management (tenants, maintenance), high upfront capital, geographic concentration, high transaction costs.

REITs — Real Estate Investment Trusts

Publicly traded companies that own and manage real estate portfolios, and distribute at least 90% of their profits as dividends. They let you invest in real estate from $10, with immediate liquidity and instant diversification — for me, the most practical way to carry "bricks" in my backpack without literally carrying bricks.

Direct investment vs. REITs

Criteria	Direct investment	REITs
Minimum capital	High (20-30% down payment)	From $10
Liquidity	Very low (months)	High (on the exchange)
Management	Active	Passive
Diversification	Low	High
Leverage	Possible	Built in
Control	Total	None

Metrics for evaluating a direct real estate investment: Cap Rate = NOI ÷ Purchase price (gross operating return, higher is better). Cash-on-Cash Return = Annual net cash flow ÷ Own capital invested (return on your actual money). GRM = Price ÷ Annual rent (quick comparison between properties). Break-even occupancy: what % occupancy you need to cover all your costs.

The common real estate trap: underestimating real costs — maintenance (around 1-2% of value each year), vacancy, insurance, taxes, management fees. A property that looks profitable based on gross rent can end up negative once real costs are factored in. Always calculate net cash flow, never gross.

TODAY'S ACTION

If you don't have any real estate exposure yet, research a diversified REIT available on your platform. You don't need to buy a property to have this asset class in your portfolio.

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CHAPTER EIGHT

Advanced fixed income — bonds and credit

Fixed income isn't just "the boring part of the portfolio." Understanding it deeply lets you use it strategically, both for protection and for generating income.

A bond is a debt instrument: the issuer (company or government) pays you a periodic coupon, and at maturity returns your capital. Its price in the secondary market moves inversely with interest rates: if rates rise, the bond's price falls, and vice versa.

Key fixed income concepts

Concept	Definition	Why it matters
Duration	Price sensitivity to rate changes	Higher duration = higher rate sensitivity
Yield to Maturity (YTM)	Total return if held to maturity	The most complete return indicator
Credit spread	Extra premium over the risk-free rate	Indicates the issuer's perceived risk
Investment Grade	Rating BBB- or higher (S&P/Fitch)	Lower default risk
High Yield (Junk)	Rating below BBB-	Higher return but higher default risk
TIPS	Inflation-adjusted treasury bonds	Real protection against inflation

Bond Ladder strategy: spread your bond investments across different maturities: 1, 2, 3, 4, and 5 years. Each year a bond matures, you reinvest at the longest term. The result: guaranteed annual liquidity, exposure to long-term yields, and an almost automatic average rate.

Interest rates and your portfolio: in a rising-rate environment, short-duration bonds are favored — long-duration ones get hurt. In a falling-rate environment, long-duration bonds appreciate significantly. Understanding which rate cycle you're in is key to actively managing your fixed income.

TODAY'S ACTION

Check the average duration of your fixed income holdings (most bond ETFs publish it). Compare it against your expectations for the current rate cycle.

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CHAPTER NINE

Investment taxation

You can do everything right strategically and still lose a significant part of your gains by ignoring taxes. Legal tax optimization is, literally, an extra layer of return — the part of my coffee that doesn't get cold even if it takes a while to check on it.

- Selling assets at a gain: taxed as a capital gain.
- Dividends and coupons received: taxed as income (rates vary by country).
- Interest from accounts and bonds: generally taxed as ordinary income.
- Inheritance and gifts: varies enormously by jurisdiction.

Tax-loss harvesting

Selling assets at a loss to offset taxable gains on other assets in the same tax year. You immediately reinvest in a similar (not identical) asset, so as not to violate the wash-sale rule. You reduce your tax bill without changing your actual market exposure.

Tax deferral

Using tax-advantaged vehicles (pension plans, IRAs, long-term savings plans) so your capital grows without being taxed until withdrawal. The effect on compound interest is enormous over horizons of 20+ years.

Asset location

Place tax-inefficient assets (bonds, REITs, high-turnover funds) in tax-advantaged accounts, and efficient assets (low-distribution index funds) in taxable accounts.

Account	Tax treatment	Best place for
Standard taxable account	Taxed on dividends + realized gains	Accumulating index ETFs, growth stocks
Tax-advantaged account (pension/IRA)	Deferral or exemption	Bonds, REITs, high-distribution funds

Fundamental tax principle: don't sell just to "lock in gains." Every sale is a taxable event. The best long-term investors minimize sales — and therefore taxable events — and let compound interest work without tax interruptions.

TODAY'S ACTION

Check which type of account holds each of your assets. If you have bonds or REITs in a taxable account and available room in a tax-advantaged one, that's your next adjustment.

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CHAPTER TEN

Active vs. passive management — the real debate

Does it make sense to pay more for an active manager who promises to beat the market? The empirical evidence has a fairly clear answer, though with important nuances.

The SPIVA report (S&P Indices Versus Active) publishes its results twice a year: over 15-20 year periods, more than 85-90% of active funds fail to beat their benchmark index after costs. That statistic is extraordinarily consistent across every market studied.

Why does active management fail most of the time?

- Costs eat into returns: a fund charging 1.5% annually needs to beat the index by that same amount just to break even.
- Markets are increasingly efficient: with so much information available, inefficiencies are small and get arbitraged away quickly.
- The luck factor: many managers who "beat the market" in a given period do so by chance, not by a repeatable skill.

When can it actually make sense?

- In less efficient markets: small caps, emerging markets, niche credit.
- With managers who have a long (15+ year) consistently superior track record, not just in good periods.
- In alternative strategies (long/short, global macro) with low market correlation.

The evidence-based recommendation, the one I follow: for the core of the portfolio, low-cost passive index management. For a satellite percentage (10-20%), active management is possible if it meets strict evaluation criteria. Maximum recommended cost for active funds: 0.8% annually — above that, the probability of beating the index drops dramatically.

TODAY'S ACTION

Check the fees on every active fund you hold. If any charges more than 0.8% annually without a 15+ year track record to justify it, it's a candidate to leave your portfolio.

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CHAPTER ELEVEN

Portfolio rebalancing — when and how

A portfolio with no rebalancing ends up being a different portfolio than the one you designed. Learning to rebalance is one of the most valuable skills for an intermediate investor — it's the equivalent of checking my smartwatch and noticing a habit drifted without me realizing it.

You started with 70% stocks / 30% bonds. After a strong bull year, stocks grew more and now represent 80%. Your portfolio carries more risk than you originally decided to take on.

Three rebalancing methods

- **By calendar:** every 6 or 12 months you review the portfolio and bring it back to the target allocation, selling what outperformed and buying what lagged.
- **By threshold:** you only act when an asset class drifts more than 5-10% from its target weight. More tax-efficient, since it reduces the number of transactions.
- **With new contributions:** the most tax-efficient method. Instead of selling what went up, you direct your new contributions toward what lagged, until balance is restored.

The hidden benefit of rebalancing: it forces you to sell what went up (take profits) and buy what went down (on sale). It's a systematic, disciplined way of "buying low, selling high" — without trying to time the market.

The trap of over-rebalancing: rebalancing too often creates unnecessary transaction costs and taxable events. For most investors, annual or semi-annual rebalancing is enough. The optimal frequency depends on your portfolio size, costs, and tax situation.

TODAY'S ACTION

Calculate the current % of each asset class in your portfolio and compare it to your target. If any drifted more than 5-10%, decide whether to rebalance with a sale or simply by redirecting your next contribution.

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CHAPTER TWELVE

Your personalized investing system

Everything above only has real value once it becomes your own system — consistent and executable — the same principle I follow with my watch: what isn't measured or repeated, doesn't hold.

The 5 components of your system

- **Clear goal:** what are you investing for? In how much time? What number is your target?
- **Asset allocation:** defined by your profile, horizon, and risk tolerance — never by what the news says.
- **Concrete vehicles:** which specific ETFs, funds, or instruments you'll use, with their exact ticker or code.
- **Contribution process:** how much, when, and from which account. Automated as much as possible.
- **Review protocol:** when you review, by what criteria, and when to act vs. when not to.

Sample system — a 35-year-old intermediate investor

Goal: build wealth for early retirement at 55. Allocation: 70% global stocks / 20% bonds / 10% REITs. Vehicles: VT (global stocks) + BND (bonds) + VNQ (REITs). Contribution: $800/month automated on the 1st of each month. Review: semi-annual (June and December). Rebalance if drift exceeds 5%. No action between reviews.

What doesn't change vs. what does get reviewed

Don't change because of...	Do review if...
Negative market news	A major life goal changes
20-30% market drops	Your time horizon changes significantly
Third-party recommendations	Your tax situation changes
Viral investing trends	New evidence emerges that invalidates a system assumption

The system that works isn't the most sophisticated one. It isn't the one that uses the best tools. It's the one you can maintain for years without abandoning it during crises. Consistency applied to a reasonable system always beats genius applied inconsistently.

TODAY'S ACTION

Write out your own system across the 5 components above, with the same precision as the example: goal, allocation, vehicles with ticker, contribution amount and date, and review protocol.

What I want you to take from this guide

1. Consolidate your foundation before advancing — that's where the intermediate level begins.
2. Analyze companies with real metrics, not intuition or hype.
3. Use technical analysis as a timing tool, not a selection tool.
4. Build a portfolio diversified across low-correlation assets.
5. Adjust your allocation according to your age and time horizon.
6. Diversify by sector and geography; add themes with judgment.
7. REITs are the most accessible way to invest in real estate.
8. Understand duration and the rate cycle to manage your fixed income.
9. Optimize taxes with deferral, tax-loss harvesting, and asset location.
10. The evidence favors passive management for the portfolio's core.

11 Rebalance using whichever method is most tax-efficient for you.

12 Your system is the sum of goal + allocation + vehicles + process.

See you in Guide 3

This was the second guide in the Monkey Money Real Financial Education Series. Once your system is running on autopilot, I'll be waiting for you in the final guide of the series to take all of this to the advanced level.